NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- V)

C.A.(CAA)-87/PB/2021

IN THE MATTER OF:

SCHEME OF AMALGAMATION:

OF

Cordial Technologies Private Limited
Registered office:
C-2/388 Janakpuri New Delhi - 110058
...Applicant No.1 /Transferor Company

With

S D Polyfilms Private Limited
Registered office:
C-2/388 Janakpuri New Delhi - 110058
...Applicant No.2 /Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 13.09.2022

Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. P.S.N PRASAD, HON'BLE MEMBER (JUDICIAL)

SH. RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For Applicants : Ms. Surbhi Tomar, PCS

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ORDER

PER – SHRI RAHUL BHATNAGAR, MEMBER (TECHNICAL)

Under consideration is the Joint Application No. C.A.(CAA)/87/PB/2021 filed under Sections 230 to 232 of the Companies Act, 2013. The prayer made is to dispense with convening and holding the meeting of Shareholders, Secured and Unsecured Creditors of Transferor and Transferee Company. Thereafter for approval of the 'Scheme of Amalgamation', which shall take effect from the Appointed Date of 01.04.2021.

2. That Cordial Technologies Private Limited (hereinafter referred to as the "Transferor Company"), having CIN no. U29253DL2004PTC130076 is a private limited company incorporated under the Erstwhile Companies Act, 1956 on 19.01.2004. The registered office of the Company is situated at C-2/388, Janakpuri, New Delhi-110058. The authorised share capital of the company is Rs.5,00,000/- divided into 50,000 Equity shares of Rs.10 each and the Issued, Subscribed and Paid-up share Capital of the company is Rs.5,00,000 /- divided into 50,000 Equity shares of Rs.10 each.

3. That S D Polyfilms Private Limited (hereinafter referred as the "Transferee Company") having CIN no. U25209DL2009PTC194193 is a private limited company incorporated under the Erstwhile Companies Act, 1956 on 11.09.2009. The registered office of the Company is situated at C-2/388, Janakpuri, New Delhi-110058. The authorised share capital of the company is Rs.15,00,000/- divided into 1,50,000 Equity shares of Rs.10 each and the Issued, Subscribed and Paid-up share Capital of the company is Rs.12,50,000 divided into 1,25,000 Equity shares of Rs.10 each.

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4. That the present application has been jointly filed by the Transferor and Transferee Company (together hereinafter they are referred as 'Applicant Companies'). The Registered offices of the Applicant Companies are situated in Delhi and therefore, the jurisdiction lies with this Bench.

5. It is seen from the record that the Board of Directors of the respective Applicant Company vide separate Board meetings held on 20.02.2021 have unanimously approved the proposed 'Scheme of Amalgamation'.

6. It is stated by the Applicant Company that the aforesaid Scheme of Amalgamation will result in the following advantages:

a) *"The Merger will enable both the Companies to consolidate their business operations and provide significant impetus to their growth since both Companies are engaged in the different line of business and therefore diversification will be easy through merger of companies which carry different works.*
b) *The Merger will result in reduction in overheads, administrative managerial and other expenditure, and bring about operational rationalization, efficiency and optimal utilization of various resources.*
c) *The Merger will also consolidate the managerial expertise of both the Companies thereby giving additional strength to the operations and management of the transferee Company.*
d) *The Transferee company is the supplier of raw material to the Transferor company which Transferor company uses for the business specified in sub-clause 31 of Clause III of its Memorandum of Association.*
e) *Achieving business and administrative synergies.*
f) *Consolidation and simplification of the group structure, cost savings resulting from rationalization standardization and simplification of business processes and the elimination of duplication, and rationalization of administrative expenses, reduction in regulatory & legal compliances.*
g) *The Merger will improve the management of the Transferee Company by combining the legal entities and will reduce expenditure by eliminating administrative functions and multiple record keeping."*

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7. That the Applicant Companies have filed their Affidavits in compliance of Section 230(2)(a) of Companies Act 2013 submitting therein that no prosecution/ investigation/ inquiry under Companies Act 2013 is pending against either of the Applicant companies.

8. That the Applicant Company have also placed on record the Certificate from the Statutory Auditors conforming that their Accounting Standards are in conformity with the provision of Section 133 of the Companies Act 2013.

9. That the Applicant Companies have filed their respective Memorandum of Association (MoAs) and Articles of Association (AoAs). The Applicant Companies have filed their latest Audited Balance Sheets as on 31.03.2020 and provisional balance sheets as on 31.03.2021.

10. That the position regarding Shareholders and Creditors and their Consent through Affidavits is summarised below:

Company	No. of Share holders	Percentage of Shareholders given Consent	No. of Secured Creditors	Consent given	No. of Unsecured Creditors	Percentage of Unsecured Creditors given Consent (in value)
Transferor Company	3	100%	Nil	N.A.	45	23 Unsecured Creditors 96.75%
Transferee Company	3	100%	1	100%	38	28 Unsecured Creditors 92.29%

11. **With respect to the Transferor Company:**

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a) It is having 3 equity shareholders. Certificate from Chartered Accountants certifying list of shareholders is annexed and all of them have given their respective consents by way of affidavits which are annexed to the application. Therefore, the requirement of convening/holding the Meetings of Shareholders in respect of the Transferor Company is dispensed with as prayed for in the joint application.

b) It is further represented that the Company has nil secured creditor. Therefore, the necessity of convening and holding a meeting of Secured Creditors of the Transferor Company does not arise.

c) It is further stated that the company has 45 Unsecured Creditor. Certificate from Chartered Accountants certifying list of Unsecured Creditor is annexed and 23 unsecured Creditors holding 96.75% in value have given their respective consents by way of affidavit which is annexed to the application. Therefore, the requirement of convening/holding the Meetings of Unsecured Creditors in respect of the Transferor Company is dispensed with as prayed for in the joint application.

12. **With respect to the Transferee Company:**

a) It is having 3 equity shareholders, Certificate from Chartered Accountants certifying list of shareholders is annexed and all of them have given their respective consents by way of affidavits which are annexed to the application. Therefore, the requirement of convening/holding the Meetings of Shareholders in respect of the Transferee Company is dispensed with as prayed for in the joint application.

b) It is further represented that the Company has One secured Creditor. Certificate from Chartered Accountants certifying list of secured Creditor is annexed and the sole secured Creditor holding 100% in value has given his consent by way of affidavit which is annexed to the application. Therefore, the requirement of convening/holding the Meetings of Secured

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Creditors in respect of the Transferee Company is dispensed with as prayed for in the joint application.

c) It is further represented that the Company has 38 Unsecured Creditors. Certificate from Chartered Accountants certifying list of Unsecured Creditors is annexed and 28 Unsecured Creditor out of the total nos. holding 92.29% in value has given their consent by way of affidavit which is annexed to the application. Therefore, the requirement of convening/holding the Meetings of Unsecured Creditors in respect of the Transferee Company is dispensed with as prayed for in the joint application.

13. In terms of the above order the **C.A.(CAA)/87/PB/2021** first motion joint application is allowed. The second motion joint application may be moved with the permissible time limit prescribed in law.

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(RAHUL BHATNAGAR)
Member (T)

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(P.S.N PRASAD)
Member (J)